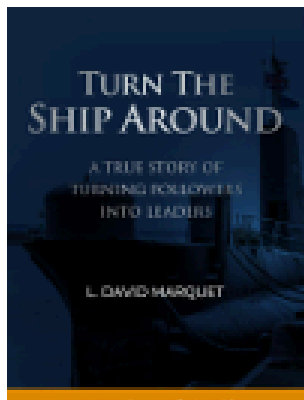




TURN THE SHIP AROUND!

A True Story of Turning Followers into Leaders

L. DAVID MARQUET

The Big “So What”

This book tells the story of how Captain Marquet successfully transformed the USS Santa Fe in less than a year, from the worst-performing submarine in its fleet to the best. It presents a different approach to leadership, using a “leader-leader” instead of a “leader-follower” model. This approach can be applied to any organization to unlock the energy and potential of people at all levels.

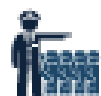
The Leader-Leader Approach

The book is written in a chronological order, from how Marquet formed his leadership theories to how he implemented a fresh leadership model to turn around the USS Santa Fe. In this summary, we'll give an overview of Marquet's leadership journey, before explaining the leadership model in detail.

A fundamental shift in thinking



Most people unconsciously divide the world into leaders vs followers and make assumptions about what each group can/can't do. Such assumptions influence our thoughts and actions to impact the performance of individual employees and the organization.



Today, many organizations still operate under the leader-follower model, which assumes that leaders have the authority and ability to tell their followers what to do and to command obedience.

- This model *can* be effective in manual, repetitive work e.g. farming or industrial jobs. However, in the modern workplace dominated by unstructured, cognitive work, such an approach limits organizational potential because (i) the entire organization's performance hinges on 1 leader's competence,

KEY QUOTES

“Our world's bright future will be built by people who have discovered that leadership is the enabling art.”

- Stephen Covey

“One of the things that limits our learning is our belief that we already know something.”

(ii) it doesn't tap on individual resourcefulness, and (iii) every leadership change can bring instability.

- It's not uncommon for enthusiastic employees to suggest new ideas, only to be told "that won't work" or "it's not your job". People feel frustrated and eventually stop trying or they leave the organization. Bosses also feel frustrated when their staff would rather do the bare minimum rather than to innovate or take responsibility.



On the other hand, the leader-leader model recognizes that everyone has the ability and potential to lead. It taps on individual potential at all levels, reduces dependency on a single leader and delivers sustained performance. This model can be applied to any organization and leadership level—it allows senior leaders to unlock the energy and potential of their people, and helps junior/middle leaders to step up in a way that encourages their bosses to let go.

From underdog to high-performance team



A hierarchical leader-follower model is prevalent in military organizations. It's especially convenient in a submarine where people operate under tight deadlines and have easy access to the leader in a physically-enclosed space.

- In the US Navy, a captain's performance was assessed strictly based on the period he was in charge of the ship. Thus, leaders tended to focus only on short-term results during their tenure. In fact, if performance dipped after a leader left, people would attribute it to his great leadership rather than his inability to train his people.
- A top-down approach also allowed people to avoid thinking (which is hard work) and shirk responsibility for their decisions. When things went wrong, people could simply say that they were following instructions.
- Hence, even if a strong leader could drive short-term results using a top-down approach, it'd cultivate unhealthy thinking patterns to damage the organization in the long-run.

KEY QUOTES

"Leadership is not some mystical quality that some possess and others do not."

"Competence could not rest solely with the leader. It had to run throughout the entire organization."

"Empowerment programs appeared to be a reaction to the fact that we had actively disempowered people."



For years, Marquet struggled with the conventional leadership model. He wanted to manage people in a way that he himself would've liked to be managed. He also believed that humans are intrinsically motivated to succeed and shouldn't have to be "empowered" to take action.

- In 1989, as an engineering officer supervising a team of 60 men, he tried to empower his team. He gave people flexibility and authority to make decisions, asked questions instead of issuing instructions, and encouraged people to talk directly to one another instead of going through him. Unfortunately, his attempt at empowerment failed—engineering errors increased, the team fell behind schedule and people were frustrated that Marquet wouldn't tell them what to do.
- On hindsight, Marquet realized that he failed because he was trying to empower people within a leader-follower structure and lacked the 3 essential ingredients for real empowerment.



10 years later, Marquet successfully transformed the Santa Fe crew under a different set of circumstances. This time, there were several important pre-requisites in place:

- Strong call to action. Unlike previous teams who were content with the status quo, the Santa Fe crew *wanted* change. At that point, Santa Fe was one of the lousiest crew with the worst retention in the submarine force. Every crew member knew there were problems; they just didn't know how to address them.
- Clear goals and support from top leaders. Marquet was recommended for the role by his mentor and immediate boss, Commodore Mark Kenny, with the explicit goal of getting the ship and crew ready for deployment in 6 months (by demonstrating combat effectiveness in a torpedo exercise). His bosses had expressed full confidence in Marquet, promising him the support to do whatever necessary to achieve the goal, without dictating how he went about doing it.
- Marquet was unfamiliar with the technical details on Santa Fe. With only 172 days to turn things around, he couldn't learn fast enough to issue top-down technical instructions, so he had no choice but to rely on the crew for technical inputs.

KEY QUOTES

"Control...only works with a competent workforce that understands the organization's purpose. Hence, as control is divested, both technical competence and organizational clarity need to be strengthened."



Marquet started by learning first-hand about the ship and crew. Rather than rely on reports and records, he spent time walking around the ship and talking to the crew to learn what worked and didn't work on Santa Fe.

- He observed many symptoms that revealed bigger issues. For example, people carried barely-working flashlights, were regularly late for meetings and didn't act without explicit endorsement from the top. Even admin approvals were often stuck in the system. At the awards ceremony, no family members were invited, no one could hear what was going on, and there wasn't even a photographer to capture the moments.
- People were frustrated as they were being micro-managed and had no room to make decisions. Yet, if instructions weren't followed to the letter, they could get blamed if things went wrong. Thus, most people simply did as they were told to avoid getting into trouble.
- In short, the Santa Fe crew was stuck in a downward spiral of bad practices → mistakes → low morale → doing the bare minimum to avoid trouble → more bad practices. To break this vicious cycle, Marquet had to fundamentally change mindsets.



Specifically, Marquet had to shift the focus away from avoiding mistakes to achieving excellence. So long as people focused on avoiding errors, they'd do just enough to stay out of trouble and never achieve true excellence. On the other hand, if they focused on exceptional performance, they'd naturally have to address mistakes. This mindset shift had to start with the chiefs—including the XO (or the second-in-command) and the 4 department heads.

- Drawing from his past experience and ideas from books like "Built to Last", "Start with Why" and "The 8th Habit", Marquet tried a new leader-leader approach. He successfully deployed Santa Fe ahead of schedule, and nurtured one of the best crew whose results lasted even after Marquet stepped down as the captain.
- The process of transformation involved a change in thinking, relinquishing control while retaining responsibility, and equipping people with the competence and clarity to successfully apply their new autonomy. In the next section, we'll zoom in on the 3 essential components of the leader-leader model, and the specific mechanisms you can use to implement them.

KEY QUOTES

"If you walk about your organization talking to people, I'd suggest that you be as curious as possible... The time to be questioning or even critical is after trust has been established."

"Everything we did reinforced the notion that the guys at the top were the leaders and the rest of the crew were the followers."

"Reducing mistakes would be an important side benefit to attaining our primary goal, achieving excellence."

● Implementing the Leader-Leader Model



To implement the leader-leader approach, you need 3 key components: Control, Competence and Clarity. Decentralized control is at the core of this model, but it can only work if it's supported by competence and clarity. Without those 2 pillars, decentralizing control will only bring chaos. When all 3 components are properly installed, they'll reinforce one another in a positive spiral.



Control



Control refers to the freedom and authority to make decisions about why, what and how you're going to work. The goal is to delegate decision-making control as far as possible in the organization.



To decentralize control, Marquet needed to get the chiefs' buy-in and commitment to change. He had to help him to see leadership as a responsibility, not a privilege, and to lead by example by first relinquishing some of *his* control to the XO and department heads. He used the following mechanisms to start disseminating control.



Rewrite your control policies. You can't delegate decision-making control by making grand speeches. You must make concrete changes to existing practices and procedures.

- Together with your key leaders, review the policy documents that specify where decision-making authority is currently vested in your organization. Identify the decisions (e.g. leave approvals or purchase decisions) that can be made at a lower level in the organization. You can also break down large decisions into smaller parts that can be decentralized.
- Get leaders to write down their concerns about delegating those tasks (e.g. worries that the staff may abuse their authority or lack the clarity/competence to make good decisions). Rank the concerns and discuss specific ways to address them.

KEY QUOTES

"The core of the leader-leader model is giving employees control over what they work on and how they work...The two enabling pillars are competence and clarity."

- Using this approach, Marquet gradually expanded the chiefs' power while getting them to distribute power to other crew members. For example, simply by changing the final approving authority for the leave chits, they were able to eliminate 6 steps from the 14-step process.



Use behaviors to change mindsets. You can't force people to change how they think. It's more effective to change how you behave, and let those behaviors influence how people think.

- To improve team morale, Marquet asked the crew to identify the behaviors that'd show someone was proud of the ship. Based on the feedback, they introduced the "three-name rule", i.e. every crew member would use 3 names to greet a visitor e.g. "Good morning Commodore Kenny. I am Petty Officer Smith, welcome aboard Santa Fe." This simple behavioral change instilled a sense of pride, initiative and control, to bring a positive mood shift within just a few days.
- To change a part of your culture, start by brainstorming the desired behaviors that would reflect the underlying cultural shift. For example, a good sign of an innovative culture could be employees submitting at least 1 new idea a month and openly discussing those ideas. Discuss how to embed such behaviors into your organization's practices.



Use short, early check-ins. It's common for people to spend a lot of time/energy perfecting their work before showing it to their boss, only to realize that they were on a totally wrong track.

- For example, Marquet found that the crew members were wasting too much time trying to perfect the nautical charts before reviewing them with the senior officers, for fear of criticism. Nautical charts are crucial for operational planning, but there's no point in perfecting the charts since the final course chosen will depend on the enemy's path. It'd be more effective to have quick, regular conversations to discuss the plans/charts, so the crew could get early feedback and start solving important problems instead of wasting time/energy on the wrong things.
- By investing some time to check-in regularly with their team members, leaders can help everyone to become more effective and reduce time/resource wastage on a much larger scale.

KEY QUOTES

"The reviews were focused on avoiding errors, as opposed to accomplishing something."

"Even a thirty-second check early on could save your people numerous hours of work."



Share intentions, don't seek permission. When people are used to following orders blindly, 1 leader's mistake can bring down the whole organization. Avoid issuing direct orders. Instead, get your team members to update you on their decisions and plans.

- Use empowering phrases like "I intend to...", "I plan to...", or "I will...". Don't use phrases like "Can I...", "Requesting permission to..." or "What should I do...".
- Initially, people may not know what to update or report. Ask clarifying questions to find out why they plan to take a certain step, and/or check if they have considered the implications of a certain decision. Over time, people will learn to crystallize their thoughts, think at a higher level, and present their plan so succinctly (with a few sentences) that the leaders can simply respond with an affirmative "go ahead".



Don't jump in with solutions. With the exception of real emergencies—where leaders may have to take clear, decisive actions—there's almost always enough time to let team members work through options and solutions.

- Let people have the opportunity to hone their problem-solving and decision-making skills. Resist the urge to step in with the "right" answer as it'll encourage people to keep relying on you for solutions. Help people to embrace differences and understand the value of having differing viewpoints.
- Use these rules-of-thumb to get people to think for themselves:
 - (i) If you have to make an urgent decision, make sure you explain your rationale and assumptions and get your team to critique the decision after the event.
 - (ii) If a decision must be made soon, at least seek inputs quickly before making the decision.
 - (iii) Wherever possible, delay the decision so the team can debate the options and arrive at better solutions.



Use bottom-up accountability, not top-down tracking. It's common for team leaders to track and remind their staff of the outstanding items "owed" by them. It's much better for team

KEY QUOTES

"What happens in a top-down culture when the leader is wrong? Everyone goes over the cliff."

"Cherish the dissension. If everyone thinks like you, you don't need them."

"Don't preach and hope for ownership; implement mechanisms that actually give ownership."

members to be accountable for updating their supervisors on their progress and next steps. This frees up the leaders' time and creates a sense of personal responsibility by the subordinates.



Think aloud. Leaders are often afraid to show uncertainty or say the “wrong” things; they end up trying to appear smart rather than maximize their learning and effectiveness. In order for people at all levels to make good decisions in a complex world, it’s crucial that they understand why they’re doing that they do.

- When leaders “*think out loud*”—by voicing their questions, concerns and assumptions, or sharing why something should be done—it (i) imparts crucial thinking skills and (ii) sends the message that it’s ok to show uncertainty.
- Use words like “I think...” or “Let’s assume...” to encourage people to *communicate openly* and share ideas and feedback.



Seek external critique. Don’t mask problems and paint an overly-rosy picture to the outside world. Instead, invite external criticism so you can learn. The Santa Fe crew learned to “embrace the inspectors” instead of dreading such inspections. Whenever inspectors were onboard, the crew would use the chance get feedback and ask about best-practices on other ships, so they can learn and improve.

Competence



For decentralized control to work, people at every level must be **technically competent to make the right decisions**. If you give people additional responsibility without equipping them with the required knowledge and resources, things will fall apart.



Take deliberate action. In certain industries or processes, a single mistake could make the difference between life and death. You can’t avoid mistakes altogether, but you can take steps to prevent and minimize them.

- When we do something routine or familiar, it’s easy to lapse into “auto-mode” which increases the risk of *careless mistakes*. For example, during dangerous navy procedures, red tags are hung on critical parts (e.g. valves or switches) to warn sailors

KEY QUOTES

“Control without competence is chaos.”

not to operate those parts. Yet, an accident occurred when a Santa Fe crew member unthinkingly operated a switch despite the red tag.

- In such cases, adding more training or supervision won't solve the problem; the key is to get people to take deliberate action, i.e. habitually pause before acting, so a potential mistake can be stopped before the action is completed. For example, an operator can intentionally pause, vocalize his next step and/or position himself in a way that clearly indicates his intent. By making his actions obvious to himself and his team members, there's a higher chance that someone will detect an impending error.



Adopt continuous learning. Learning doesn't have to come in the form of training and lectures. With the right attitude, you can find learning opportunities everywhere.

- Together with the chiefs, Marquet developed a "We Learn" Creed to describe why and how the Santa Fe crew make learning an integral part of their work. Next, they defined and designed training programs to equip people with specific technical competencies for decision-making.
- Get together with your leaders to identify your top learning priorities. Specifically, discuss (i) the most important types of decisions to be made at certain levels of management, and (ii) the technical knowledge people need to make such decisions. Integrate these topics into your training program to improve your team's decision-making abilities.



Certify, don't brief. It's common for teams to be briefed just before an event (e.g. a product launch or sales campaign). Briefings are often ineffective as they're one-way communications. People on the receiving end may just nod and agree without really thinking about what's being said.

- Operational briefs on Santa Fe were replaced by "certifications"—the person-in-charge asked questions and jointly assessed with the rest of the team if they were ready for an operation (and if not, what had to be done).
- This converts every team member into an active participant. People are now thinking at a higher level, considering what

KEY QUOTES

"Training is a subset of learning, which in turn is a subset of personal growth."

they must do and taking responsibility for their roles instead of waiting passively for information and instructions.

 **Repeat key messages regularly and consistently.** When a change is first announced, people may not take it seriously, or they may feel skeptical about the change. You must repeat the same message over and over before it will sink in.

 **Define goals, not methods.** Get people to focus on delivering results, not on following predetermined procedures.

- For example, the fire drills on Santa Fe were ineffective as people were strictly following standard operating procedures (SOPs). No one bothered to think of better ways to put out the fire, and people were stuck when they faced scenarios outside the SOPs.
- Results improved drastically when the chiefs stopped dictating who must do what, but gave the crew a simple clear goal—to put out the fire asap—and left it to crew members to find the best way to achieve it. This was supported by (i) a clear incentive to reach the goal (i.e. the drill would end once the fire was extinguished), (ii) concrete approaches and techniques that'd help the crew members to achieve the goal (e.g. crew members at the scene should describe the situation in specific detail to offsite experts, and attack the fire with portable extinguishers).

Clarity



For people at all levels to make effective decisions, they must be fully aligned with the organization's purpose, and thoroughly understand the organization's goals and decision-making criteria.

 **Care for your people.** Marquet believes that leaders are responsible for their people's success and well-being, and should help their team members to achieve their work and personal goals.

- The chiefs started to talk to individuals about their personal and life goals, the types of courses and personal growth they wished to pursue etc. They also designed programs to bridge specific technical gaps, so crew members could do well in the advancement exams and improve their chances for promotion.

KEY QUOTES

"What I realized...is the need for a relentless, consistent repetition of the message."

"The procedure had become the master and not the servant."

"Provide your people with the objective and let them figure out the method."

"As the level of control is divested, it becomes more and more important that the team be aligned with the goal of the organization."

"Taking care of your people (means) giving them every available tool and advantage to achieve their aims in life, beyond the specifics of the job."

- This built trust/connection and gave people more to look forward to. When the crew felt that the chiefs were committed to their success, they also became more receptive to feedback.



Inspire with your legacy. Explore how you can capture your organization's legacy and keep it alive, e.g. tell stories about the drive and purpose of your early days, how you overcame a crisis, and embed the keywords in your guiding principles, reports and awards. To pass on the submariners' legacy and remind people why they were in service, Santa Fe adopted practices like making an announcement each time they passed a sunken submarine site, and sharing stories about their predecessors' accomplishments.



Develop guiding principles for decision-making.

- Develop a set of guiding principles that'd provide clear criteria for any team member to make the right choices. Leaders should also test their behaviors regularly against these principles to ensure they're leading by example.
- Santa Fe developed its list of guiding principles and made them tangible by linking the principles to everything they did, from language to behaviors, assessments and awards (e.g. "Tom demonstrated Courage and Integrity when he...").



Reinforce desired behaviors with instant recognition. Make it possible for people to celebrate great behaviors immediately, e.g. using peer recognition or small gifts.

- Remove all structural or administrative barriers (e.g. a complex approval process). Measure results and make the data available to everyone, so it becomes a game that ignites people's natural desire to improve and thrive.
- Don't force your employees to compete with one another. Instead, design your rewards to encourage collaboration toward a common goal, with no limit on the number of winners. For example, you can recognize all employees who achieve certain targets or when people outperform external competitors or even themselves.



Start with the end in mind. Share what you're trying to achieve with your team, so they can help to translate the high-level vision into specific, measurable goals for their departments and teams.

KEY QUOTES

"Guiding principles needed to do just that: provide guidance on decisions."

"Guiding principles have to accurately represent the principles of the real organization, not the imagined organization."

"When I say immediate recognition, I mean immediate. Not thirty days. Not thirty minutes. Immediate."

"Have awards that are abundant, with no limit. They pit your team against the world—either external competitors or nature."

Santa Fe was successfully deployed 2 weeks ahead of schedule because of a discussion between Marquet and Lieutenant Adams 3 months prior. The duo had the vision of giving the crew a 2-week break—this idea motivated them to develop a plan that led to the ship's early deployment.

 **Encourage questions.** During an exercise, Marquet ordered a course-change which would've caused Santa Fe to miss its target. Fortunately, one of the officers pointed out Marquet's mistake and averted the error. Encourage everyone in your organization to adopt a questioning attitude instead of blindly following instructions; this is the best way to nurture leaders at all levels.

Conclusion

 Just a year after Marquet took over command of Santa Fe, the ship and crew's performance had improved manifold, enlistments and retention had skyrocketed, and the crew members were advancing in their careers. If these 3 sets of mechanisms can work in a top-down hierarchical structure like Santa Fe's, it can work in any organization.

 To get started:

- Examine your internal processes to identify key sources of excellence, e.g. specific interfaces with customers.
- Figure out the types of decisions that'd affect your organization's ability to achieve excellence in those areas.
- Break down what's required to help your employees to make those decisions (e.g. technical knowledge, goal-clarity, decision-making authority and accountability) and make it happen.

This summary focuses on the leader-leader model and its 3 core components. The book is packed with many other anecdotes about the navy and Marquet's personal reflections. Each chapter also comes with a list of questions for you to reflect about your leadership approach and where your organization stands. For more details, please visit davidmarquet.com.

KEY QUOTES

"If the leader-leader model can work on board a nuclear submarine, it can work for you."